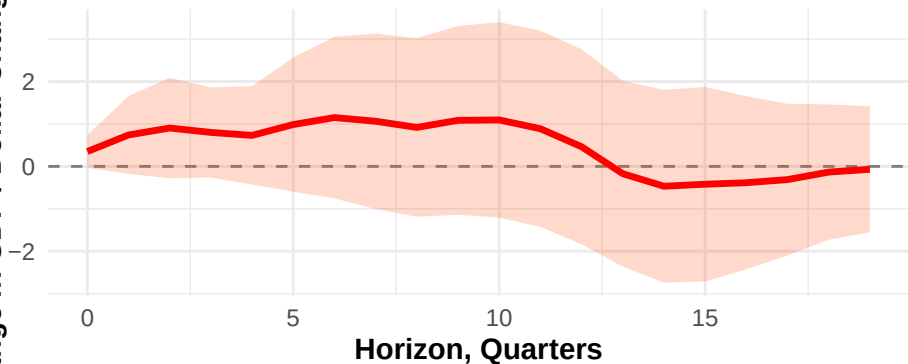


Government Spending Multipliers in \$: LOW PROGRESSIVITY

Smooth Transition LP-IV



Regime
(Shaded: 95% Newey–West CI)



Low Progressivity

Scaled by 1913–2006 avg GDP/GOV ratio